

Assignment Topic

Adam Smith and Thomas Robert Malthus



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Adam Smith (1723-1790)

Adam Smith was born in Scotland, where he lived most of his life. **He attended Glasgow and Oxford Universities (1737-1746) and was a professor at Glasgow from 1751 to 1764. In 1759 he published one of his two major works, The Theory of the Moral Sentiments, a treatise on social and moral philosophy. He spent two years in France, from 1764 to 1766, where he interacted with many of the leading French intellectuals, including the Physiocrats Quesnay and Turgot. In 1776 he published his most important work, An Inquiry into the Nature and Causes of the Wealth of Nations (generally referred to as The Wealth of Nations).** Smith is distinguished from all prior economists not only by his scholarship and breadth of knowledge, but also by his development of a complete and relatively consistent abstract model of the nature, structure, and workings of the capitalist system. He clearly saw that there were important interconnections between the major social classes, the various sectors of production, the distributions of wealth and income, commerce, the circulation of money, the processes of price formation, and the process of economic growth. He based many of his policy recommendations on the conclusions derived from his model. Such systematic models of capitalism, whether considered as a whole or in part, have characterized the writings of most of the important economists since Smith. Smith's model is equally interesting whether one examines its logical consistencies or its contradictions. He was a seminal influence on modern economic thinking, and most of the nineteenth- and twentieth-century economists (even up to the present time) who have been in sharp intellectual conflict with each other can trace many of their important ideas to concepts first developed systematically in The Wealth of Nations.

Historical Context of Smith's Ideas

The capitalist mode of production, after it finally overcame the fetters of feudalism and the transitional period of mercantilism, reached its height and most clearly displayed its inherent socioeconomic features in the industrial revolution, which occurred first in England and Scotland roughly in the last three decades of the eighteenth century and in the early nineteenth century. **It spread to many parts of western Europe in the early nineteenth century. Between 1700 and 1770, the foreign markets for English goods grew much faster than England's domestic markets. During the period 1700-50, output of domestic industries increased by 7 percent, while that of export industries increased by 76 percent. For the period 1750-70, the respective figures are 7 percent and 80 percent.** This rapidly increasing foreign demand for English manufactures triggered the industrial revolution, which ultimately proved to be one of the most fundamental transformations of human life in history. Eighteenth-century England had an economy with a well-developed market, in which the traditional anti-capitalist market bias in attitudes and ideology had been greatly weakened. In England at this time, larger outputs of manufactured goods produced at lower prices meant ever-increasing profits. Thus, profit seeking, stimulated by increasing foreign demand, was the motive that accounted for the virtual explosion of technological innovations that occurred in the late eighteenth and early nineteenth centuries-and that radically transformed all England and eventually most of the world. The textile industry was most important in the early industrial revolution. **In 1700, the woolen industry had persuaded the government to ban the import of Indian-made "calicoes" (cotton) and thus had secured a protected home market for domestic producers.**

As outlined earlier, rising foreign demand spurred mechanization of the industry. More specifically, an imbalance between the spinning and weaving processes led to many of the innovations. **The spinning wheel was not as productive as the handloom, especially after the 1730s, when the flying shuttle was invented and the weaving process was speeded up considerably. This imbalance was reversed by three later inventions: the spinning jenny, developed in 1769, with which one person could spin several threads simultaneously; the water frame, invented in 1775, which improved spinning by using rollers operating at different speeds; and the mule, developed in the late 1770s, which combined features of the other two and permitted the application of steam power.** These new inventions could be used most economically in factories located near sources of water power (and later steam power). **Richard Arkwright, who claimed to be the inventor of the water frame, raised sufficient capital to put many factories into operation, each employing anywhere from 150 to 600 people.** Others followed his example, and textile manufacturing in England was rapidly transformed from a cottage to a factory industry. The iron industry was also very important in the early drive to mechanized factory production. In the early eighteenth century, England's iron industry was quite inconsequential. Charcoal was still used for smelting and had been since prehistoric times. By this time, however, the forests surrounding the iron mines were almost completely depleted. **England was forced to import pig iron from its colonies, as well as from Sweden, Germany, and Spain. In 1709 Abraham Darby developed a process for making coke from coal for use in the smelting process.** Despite the relative abundance of coal near the iron mines, it was not until the latter part of the eighteenth century (when military demands on the arms and munitions industries were very great) that the iron industry began using coke extensively. This increased demand led to the development of the puddling process, which eliminated the excess carbon left by coke. A whole series of innovations followed, including the rolling mill, the blast furnace, the steam hammer, and metal-turning latches. All these inventions led to a very rapid expansion of the iron and coal-mining industries, which permitted the widespread use of machines made of iron in a wide variety of industries. Entrepreneurs in many other industries saw the possibilities for larger profits if they could increase output and lower costs. In this period there was a "veritable outburst of inventive activity" :

During the second half of the eighteenth century, interest in technical innovations became unusually intensive. For a hundred years prior to 1760, the number of patents issued during each decade had reached 102 only once, and had otherwise fluctuated between a low of 22 (1700- 1709) and a high of 92 (1750-1759). During the following thirty-year period (1760- 1789), the average number of patents issued increased from 205 in the 1760s to 294 in the 1770s and 477 in the 1780s.

Undoubtedly the most important of these innovations was the development of the steam engine. **Industrial steam engines had been introduced in the early 1700s, but mechanical difficulties had limited their use to pumping water from mines. In 1769 James Watt designed an engine with such accurate specifications that the straight thrust of a piston could be translated into rotary motion. A Birmingham manufacturer named Boulton formed a partnership with Watt, and with Boulton's financial resources they were able to go into large-scale production of steam engines.** By the turn of the century, steam was rapidly replacing water as the chief source of power in manufacturing. The development of steam power led to profound economic and social changes.

The growth in the major manufacturing cities was truly spectacular. For example, the population of Manchester rose from 17,000 in 1760 to 237,000 in 1831 and to 400,000 in 1851. Output of

manufactured goods approximately doubled in the second half of the eighteenth century and grew even more rapidly in the early nineteenth century. By 1801, nearly 30 percent of the English workforce was employed in manufacturing and mining; by 1831, this figure had risen to over 40 percent. Thus, the industrial revolution transformed England into a country of large urban manufacturing centers, where the factory system was dominant. The result was a very rapid growth of productivity that vaulted England into the position of the greatest economic and political power of the nineteenth century. The fact that Adam Smith wrote *The Wealth of Nations* in the period during which the industrial revolution was just getting under way attests both to the fact that many of the economic features that were to dominate the great industrial cities of the early nineteenth century were present in some form in some mid-eighteenth century English and Scottish cities (particularly Glasgow) and to the fact that Adam Smith was indeed a most perspicacious social scientist. By the mid-eighteenth century, in many commercial and industrial cities (including Glasgow), a significant amount of production took place in what have been called "manufactories." A manufactory was a center of production in which a capitalist owned the building, production equipment, and raw materials and hired wage laborers to do the work. It can be distinguished from the typical factory of the later stages of the industrial revolution in that the laborers generally used the older handicraft techniques of production rather than mechanized, assembly-line techniques. In the manufactories, the capitalist manufacturer could be seen as economically distinct from both the merchant and the wage laborer. Furthermore, by Smith's time the great productive potential of the capitalist organization of production was clearly seen in these manufactories. Smith was greatly impressed with the degree to which they had carried the division of labor and the resulting increases in labor productivity. Within this context, Smith was the first important economist to distinguish clearly between profits that accrued to industrial capital and wages, rents, and profits on merchant capital. He was also the first to appreciate the significance of the fact that the three principal functional categories of income—profits, rents, and wages—corresponded to the three most important social classes in the capitalist system of his day—capitalists, landlords, and the "free" laborers who could not live unless they sold their labor power for a wage. He also developed a historical theory in which he attempted to explain the evolution of this form of class society and a sociological theory to explain the power relations among the three classes.

Smith's Theories of History and Sociology

Smith's theories of history and sociology included an analysis of the origins and development of class conflict in society and an analysis of the manner in which power was wielded in the class struggle. A persistent theme discussed by Smith was that even though individuals might act selfishly and strictly on their own behalf or on the behalf of the class of which they were a part, and even though individual conflict and class conflict seemed at first sight to be the result of these actions, **there was operative in the "laws of nature" or in "divine providence" what Smith called an "invisible hand" that guided these seemingly conflict-creating actions into a benevolent harmony.** The invisible hand was not the intentional design of any individual but was simply created by the systematic working out of natural laws.

Smith's theory of history began with the proposition that the way in which humans produced and distributed the material necessities of life was the most important determinant of any society's social institutions as well as of the personal and class relationships among its members. **Smith believed that there were four distinct stages of economic and social development: hunting,**

pasturage, agriculture, and commerce. At each stage, an understanding of a society's methods of producing and distributing economic necessities was key to understanding its social institutions and governments. The relationship between the economic base and the social and political superstructure was not, however, rigidly deterministic.

Smith defined **the hunting stage as "the lowest and rudest state of society, such as we find it among the native tribes of North America."** In such societies, the poverty and precariousness of existence involved an equality in which no institutionalized forms of privilege and power existed because the economic basis necessary for such privilege and power was lacking. Therefore, "in this state of things there is properly neither sovereign nor commonwealth."

The next higher stage was that of pasturage, "a more advanced state of society, such as we find it among the Tartars and Arabs." In this stage, the economy supported larger social groupings. Production was based on the domestication of animals, and herding required a nomadic existence. In this type of society, we find for the first time a form of wealth that could be accumulated-cattle. Ownership of cattle thus became the first form of property relationship and with it came the necessity of establishing institutionalized protection of privilege and power.

Smith analyzed several particular circumstances that led to the institutionalized, coerced subordination of some people to others in various social settings, but he found one important circumstance to be common in all instances: though civil government was instituted for the security of property, it was in reality instituted for the defence of the rich against the poor, or of those who have some property against those who have none at all.

The third social state, that of agriculture, was seen in the medieval, feudal economy of western Europe. In this stage, societies permanently settled in one area, and agriculture became the most important economic activity. Accordingly, ownership of land became the most significant property relationship in differentiating classes according to their privileges and power.

Ownership of great estates was the source of social and political power. Therefore, society was divided into the ruled and the rulers. The rulers were nobility and were thought to be genetically superior to the ruled. The law of primogeniture prevented the great estates from being divided and thereby protected the power of the ruling class. Smith believed that two features of agricultural society were particularly important.

First, the wealthy nobility were severely limited in the ways in which they could use their wealth.

Second, this method of economic organization involved the wielding of absolute power by the nobility, with very few rights and very little freedom existing for the vast majority of people. The extension of the rights of and the increase in the freedom for the majority of producers were thought by Smith to be two of the most important improvements created by the advance to the highest or commercial state of society.

In Smith's view, the rise of European cities was the major force that led to the establishment of the commercial stage of social development. These cities were seen as dependent on foreign trade, and, to a great extent, economically independent of the medieval agricultural economy. The

medieval lords permitted the growth of independent cities because of the rents and other benefits that they could derive from the cities. Within the cities a new political atmosphere evolved in which producers enjoyed more freedom than they had in any previous stage of social development. A much wider extension of the rights of property also developed, which permitted producers to aspire to create wealth for themselves.

According to Smith, the growth of the cities transformed rural agriculture and created the commercial stage of society, capitalism, by creating markets where the feudal lords could exchange their agricultural surplus for manufactured goods. The desire for manufactured goods led to the enclosure movements. Smith believed that medieval agriculture had been very inefficient. The desire to buy more goods led the lords to increase efficiency by dismissing the unnecessary tenants and reducing the number of workers on the land. This also led to the feature that Smith considered most progressive about capitalism (the increase in freedom and security for the majority of producers). As landlords strove to increase economic efficiency, purely selfish motives led them to abolish the conditions of serfdom and slavery and to permit these former serfs and slaves to enjoy certain rights of property and security.

The increased efficiency of commercially oriented agriculture established the economic base for the expansion of the cities and for a continuous enlargement of profitable manufacturing. **From that point, the development of industry and commerce promoted efficient, capitalist agricultural production, while the latter in turn spurred the greater development of the former.** The growth of this mutually beneficial exchange created the commercial or capitalist society, which Smith believed to be the highest and most progressive form of human society.

According to Smith, differing conditions of property ownership were the basis of the major class divisions in a capitalist society. **Property ownership determined the source of an individual's income, and the source of income was the principal determinant of social class status.**

However, in a market society in which land and capital had not come to be owned by separate classes, that is, a society in which workers themselves controlled the means of production, "the whole produce of labour belongs to the labourer." Smith had no doubt about the fact that of the three main social classes, labor was the sole creator of value or wealth: "The annual produce of the land and labour of any nation can be increased in its value by no other means, but by increasing either the number of productive labourers, or the productive powers of those labourers who had before been employed. But once a small class came to own the means of production, it acquired the power, through its property rights, of preventing the worker from producing unless it received a share of what the worker produced.

The division of the produce of labor between wages and profits was determined in the struggle between laborers and capitalists over what the wage rate would be. But this struggle was by no means a struggle of equals. According to Smith, the capitalists were the more powerful, dominant class in the conflict. Smith identified three sources of the capitalists' power to dominate workers. Their greater wealth enabled them to hold out much longer in industrial disputes; they were able to manipulate and control public opinion; and they had the incalculable advantage of having the government on their side. In their struggles, both capitalists and workers colluded among themselves to better their position in the class struggle.

Thus, Smith clearly recognized the central importance of the class conflict between capitalists and workers. He saw the principal basis of class differentiation to be the ownership of land and capital. He also saw that the power of capitalists came from several interrelated sources: their wealth, their ability to influence public opinion, and their control of the government.

Smith's Value Theory

Although Smith never presented a consistent labor theory of value, he did present many ideas that were to become the basis for the more sophisticated versions of the labor theory of value by David Ricardo and Karl Marx. The starting point of this theory is the recognition that in all societies the process of production can be reduced to a series of human exertions. Advances in human productivity have usually been associated with the extension or elaboration of the labor processes that culminate in the creation of some particular product. Most generally this increased productivity has resulted from producing new tools. It is said that both "capital" and labor are productive, that both contribute equally to subsequent production. Smith and other labor theorists, however, recognized the obvious fact that tools are the products of labor and that the contribution they make to production is, in reality, simply the human contribution made by the producers of the tools. This is the starting point of the labor theory of value and was emphasized by Smith: **"Labor was the first price, the original purchase-money that was paid for all things. It was not by gold or by silver, but by labor, that all the wealth of the world was originally purchased. Smith declared that the necessary prerequisite for any commodity to have value was that it be the product of human labor. But the labor theory of value goes beyond this. It asserts that the exchange value of a commodity is determined by the amount of labor embodied in that commodity, plus the relative allocation at different points in time of indirect labor and direct labor used in production. Smith was able to see labor as the determinant of exchange value only in early pre-capitalist economies, where there were neither capitalists nor landlords. But when capitalists gained control of the means of production and landlords monopolized the land and natural resources, Smith believed that exchange value or price came to be a sum of three component parts: wages, profits, and rents. Because profits and rents must be added to wages in order to determine prices, Smith's theory of prices has been called, by an eminent historian, "an 'Adding-up Theory' -a summation of three primary components.**

It followed from this principle that prices could remain proportional to the amounts of labor embodied in commodities only if the value of capital per worker was the same in different lines of production. But if the value of capital per worker differed among the various sectors of the economy, then the addition of profits to wages would yield a sum that would not be proportional to the labor embodied in the production of the commodities. Smith accepted as an obvious empirical fact the assertion that the value of capital per worker differed from industry to industry. He could not see any way of showing how the labor embodied in production determined exchange value in these circumstances. **It remained for David Ricardo to show the general nature of the relationship between the labor embodied in commodities and their exchange values under these circumstances, and for Karl Marx and subsequent theorists to work out a complete and logically coherent labor theory of value.**

Smith's cost-of-production theory of prices was not intended to explain the actual day-to-day fluctuations of prices in the market. He distinguished between market price and natural price. The market price was the actual commodity price that existed at any particular point in time in a particular

market. He believed that it was regulated by the relationship between the amount of the commodity that sellers wished to sell and the quantity that buyers wished to buy at various prices. **In other words, the market price was determined by the forces of supply and demand. If supply was small relative to demand, then the small supply would be allocated to those purchasers willing to pay a high price. If supply was large relative to demand, then the price would have to be lowered to induce buyers to purchase the entire amount.** The natural price was that price where the proceeds of the sale were just sufficient to provide the landlord, the capitalist, and the workers with rent, profit, and wages equivalent to the ordinary or socially average rates of rent, profits, and wages. If demand was large relative to supply and the market price was higher than the natural price, then profits would exceed the socially average rate of profit. These high profits would attract other capitalists who were constantly looking for industries in which they could make higher profits. As these new capitalists began producing and selling the commodity, it would increase the supply of, and thereby reduce the market price of, the commodity. As long as the market price remained above the natural price, this process would continue. But when the market price had been forced down to the natural price, the profits earned in that industry would be equal to the socially average rate of profit, and there would no longer be any incentive for capitalists to expand the supply of the commodity.

If demand was small relative to supply and the market price was lower than the natural price, then profits would fall short of the socially average rate. These low profits would induce some of the capitalists to leave the industry and invest their capital in other industries where the profit rate was higher. This would reduce the supply and thereby increase the market price of the commodity. Again, this process would continue until the market price had been pushed up to the natural price. There were two major weaknesses in Smith's theory of prices.

First, the three components of prices—wages, profits, and rents—were themselves either prices or derived from prices. A theory that explains prices on the basis of other prices cannot explain prices in general. If to understand one price we have to know what other prices are, the question immediately arises as to how those other prices are explained. The first was the labor theory of value, which Smith was unable to formulate in situations in which the value of capital per worker differed in different sectors of the economy. The second was the utility theory of value, which made prices dependent on use value, or utility.

The word VALUE, it is to be observed, has two different meanings. The one may be called "value in use," the other "value in exchange." The things which have the greatest value in use have frequently little or no value in exchange; and on the contrary those which have the greatest value in exchange have frequently little or no value in use. Nothing is more useful than water: but it will purchase scarce anything; scarce anything can be had in exchange for it. A diamond, on the contrary, has scarce any value in use; but a great quantity of other goods may frequently be had in exchange for it.

Economists having a utility theory of value generally refer to this passage as "the water-diamond paradox." Smith did not, however, see it as a paradox, but simply as a statement that use value and exchange value were not systematically related to each other.

The second major weakness of Smith's cost-of-production theory of prices, which was to be the focal point of Ricardo's critique of Smith, was that it yielded conclusions about the general level of all prices rather than the relative values of different commodities. In Smith's theory, if anything happened to

increase any of the three cost components of a commodity, then the value of the commodity had to increase. This was particularly true of wages, because they represented the major part of the costs of producing all commodities. Smith and all of the classical economists believed that wages would tend to be at or near the subsistence level.

Although Smith's inability to show how a labor theory of value could explain prices in a capitalist economy indicated that he did not attach the same importance to finding an invariant measure of value as did Ricardo and Marx, nevertheless, he did try to find a measuring rod that would be the best measure of value. He began by rejecting gold and silver because the conditions under which they were produced varied and hence they would be variable measuring rods. He insisted that "a commodity which is itself continually varying in its own value, can never be an accurate measure of the value of other commodities." The best measure of value, in his opinion, was the amount of labor any commodity could command in exchange.

Smith's Theory of Economic Welfare

Smith's economic theory was, above all else, a normative or policy-oriented theory. His principal concern was to ascertain what social and economic forces were most conducive to increasing human welfare, and, on the basis of this, to recommend policies that would best promote human happiness. **Smith's definition of economic welfare was fairly simple and straightforward. Economic welfare depended on the amount of the annual "produce of labour" and "the number of those who are to consume it."** Another criterion of welfare, not explicitly stated by Smith but important in many of his discussions, was that welfare could be increased as the composition of productive output conformed more to the needs and desires of those who purchased and used the output.

In analyzing the forces that tended to increase economic welfare, Smith developed a model that delineated the most important social and economic components of capitalism. Capitalism was divided into two primary sectors of production-agriculture and manufacturing. **The production of commodities required three distinctive groups of inputs-land (including natural resources), labor, and capital.** **Corresponding to these three groups of inputs were the three principal social classes of capitalism-landlords, laborers, and capitalists.**

The three social classes each received a distinct form of monetary return-rent, wages, and profits. These forms of class income, as we have seen, corresponded to the three component parts of production costs and determined the prices of commodities. Smith assumed that selfish, acquisitive motives characterized all economic behavior. The assumption that all economic behavior is based on selfish, acquisitive motives was to become the foundation of neoclassical economics beginning in the late nineteenth century.

Within the context of Smith's theory of history, capitalism represented the highest stage of civilization, and capitalism would reach its greatest height when it had evolved to a state in which the government had adopted a laissez faire policy, allowing the forces of competition and the free interplay of supply and demand to regulate the economy, which would be almost entirely unhindered by government restrictions or interventions. The entire structure of The Wealth of Nations builds toward Smith's laissez-faire conclusions.

On the basis of his own analyses, Smith rejected the theories and policies of both the mercantilists and the Physiocrats and then stated what system would maximize economic welfare. This statement is the main conclusion of the book: Laissez-faire capitalism, or, as Smith calls it, "the obvious and simple system of natural liberty," is asserted to be the best possible economic system.

Summarising some of the arguments by which Smith arrived at this ultimate conclusion:

1. The level of production in any society depended, in Smith's view, on the number of productive laborers and the level of their productivity. Productivity, in turn, depended on specialization, or the extent of the division of labor.
2. The extent of the division of labor was governed by two circumstances. **First**, there had to be a well-developed market, or a commercial exchange economy, in order for extensive specialization to take place. When a market economy existed, the degree of specialization would depend on the size of the market. The most important or fundamental division of labor was that between rural agriculture and urban manufacturing. The natural order of economic development was agriculture first, then urban manufacturing, and then foreign commerce. When a commercial society had developed to a point where this urban-rural specialization was possible, then the **second** circumstance governing the extent of the division of labor became more important.
3. The accumulation of capital, then, was the principal source of economic progress, and profits were the source of new capital. Given this central significance of profits and capital accumulation, Smith placed a great deal of emphasis on his distinction between productive and unproductive labor.

Smith advanced two definitions of productive labor.

First, he argued that laborers were productive when their labor resulted in revenues, accruing to capitalists that were sufficient to repay wage costs and still leave a profit.

Second, he argued that laborers whose labor was embodied in a tangible, vendible commodity were productive. In both cases he was attempting to distinguish those laborers who contributed to the process of capital accumulation from those who merely sold their services to either wealthy persons or the government. The latter he viewed as a variety of "menial servants," whose services, however desirable, did not result in the generation of profits or the accumulation of capital and, hence, did not further economic progress. Such services he regarded as unproductive labor.

The important point was that productive labor was the labor that furthered the accumulation of capital. The new capital increased economic welfare because it increased the productivity of labor.

Smith argued, capital employed in agriculture was the most productive, manufacturing was next, then came domestic trade, and last was foreign trade. This ranking of the productivity of capital corresponds with what Smith believed to be the natural order of economic development. If governments did nothing either to encourage or to discourage the investment of capital in any particular sector, then the capitalists' selfish quest for maximum profits would cause economic development to take place in accordance with this natural and socially beneficial order.

After agricultural production was developed in a "**system of natural liberty**," capital would flow into manufacturing. Still, at this stage of development, domestic industry contributed more to human welfare than to foreign commerce. In describing the flow of capital into domestic industry, under a "system of natural liberty," Smith formulated the most famous statement of his thesis that in a free market the selfish actions of individuals are directed, as though by an invisible hand, in such a way as to maximize economic welfare.

Thus, Smith concluded that government interventions, regulations, grants of monopoly, and special subsidies all tended to misdirect capital and to diminish its contribution to economic welfare.

Furthermore, such government actions tended to restrict markets and thereby to reduce the rate of capital accumulation, to decrease the extent of the division of labor, and, accordingly, to reduce the level of social production. Not only would free, competitive markets direct the employment of capital to those industries in which it would be most productive, but they would also result, again through the invisible hand directing selfish profit-maximizing into socially beneficial channels, in those commodities being produced that people need and desire most intensely.

The influence of Smith on the socially conservative economic doctrines of the past two centuries lies primarily in his belief that, in a competitive, laissez faire, capitalist economy, the free market channeled all self-seeking, acquisitive, profit-oriented actions into a socially beneficial, harmonious "obvious and simple system of natural liberty." He declared that the appropriate duties of governments ought to be strictly limited.

The government ought to be given only three duties:

First, the duty of protecting the society from violence and invasion of other independent societies; **secondly**, the duty of protecting, as far as possible, every member of the society from the injustice or oppression of every other member of it, or the duty of establishing an exact administration of justice; and, **thirdly**, the duty of erecting and maintaining certain public works and certain public institutions, which it can never be for the interest of any individual, or small number of individuals.

Class conflict and Social harmony

Smith was aware that selfish, acquisitive motives led to individual and class conflicts. But within the social context of competitive capitalism, these conflicts were only apparent and not ultimately real. The invisible-hand automatically resolved superficial or apparent conflicts in a manner most conducive to human happiness. Proponents of the labor theory of value view class conflict to be of fundamental importance in understanding capitalism, while the utility theory of value sees social harmony as fundamental and leads inevitably to some version of Smith's invisible-hand argument.

Smith's analysis flows from his labor theory perspective. Thus, he was able to argue that labor was the only original creator of value, that the laborers had to share the produce of their labor with two classes whose source of power and claim to income came not from creating commodities but from property ownership, that property ownership gave some people "the right to reap where they did not sow," and that the government's protection of property rights was primarily a "defence of the rich against the poor."

Smith believed that wages were determined by an economic, social, and political struggle between workers and capitalists, in which the capitalists nearly always had the upper hand. **He was also aware that businessmen used every means at their disposal to avoid competition and to secure monopolies, as is evidenced by the two following quotations:**

1. People of the same trade seldom meet together, even for merriment and diversion, but the conversation ends in a conspiracy against the public, or in some contrivance to raise prices.
2. The interest of the dealers, however, in any particular branch of trade or manufactures, is always in some respects different from, and even opposite to, that of the public To narrow the competition is always the interest of dealers But to narrow the competition must always be against ... [the interests of the public], and can serve only to enable the dealers, by raising their profits above what they naturally would be, to levy, for their own benefit, an absurd tax upon the rest of their fellow-citizens.

In analyzing the effects of capitalism, the accumulation of capital, and its attendant division of labor on the majority of workers, **the following two quotations are equally revealing :**

The difference of natural talents in different men is, in reality, much less than we are aware of. ... The difference between the most dissimilar characters, between a philosopher and a common street porter, for example, seems to arise not so much from nature, as from habit, custom and education. When they came into the world, and for the first six or eight years of their existence, they were, perhaps, very much alike, and neither their parents nor playfellows could perceive any remarkable difference. About that age, or soon after, they come to be employed in very different occupations.

In the progress of the division of labour, the employment of the far greater part of those who live by labour, that is, of the great body of the people, comes to be confined to a few very simple operations, frequently to one or two. But the understandings of the greater part of men are necessarily formed by their ordinary employments. The man whose whole life is spent in performing a few simple operations, of which the effects too are, perhaps, always the same, or very nearly the same, has no occasion to exert his understanding, or to exercise his invention in finding out expedients for removing difficulties which never occur. He naturally loses, therefore, the habit of such exertion, and generally becomes as stupid and ignorant as it is possible for a human creature to become. The torpor of his mind renders him, not only incapable of relishing or bearing a part in any rational conversation, but of conceiving any generous, noble, or tender sentiment, and consequently of forming any just judgment concerning many even of the ordinary duties of private life.

For such workers, the value of the invisible hand and the "obvious and simple system of natural liberty" seem rather far removed. Moreover, when one considers that government exists to "protect the rich from the poor," that the use of the government is a principal means by which capitalists overpower laborers in their struggles over wage rates, and that capitalists use every means at their disposal, including government, to secure and protect monopolies, then one wonders how Smith even hoped to achieve the "system of natural liberty" in which the government had only three duties and in which the invisible hand channeled all selfish, acquisitive actions into a mutually beneficial, harmonious whole.

Thomas Robert Malthus (1766-1834)

Thomas Robert Malthus was the son of a comfortably well-to-do English family. **He was educated at Cambridge University and in 1805 was appointed to the faculty of the East India Company's college at Harleybury. He held the first British professorship of political economy and continued in that post until his death in 1834. Malthus lived in tumultuous times of intense class conflicts, and his writings reflect his positions on these conflicts.** There were two principal conflicts, each of which will be briefly discussed here. **First**, the industrial revolution was made possible only through immense, widespread sacrifice and suffering by the working class. The workers did not always meekly accept these sacrifices and consequently suffered from not only social and economic distress, but also legislative and political oppression. **Second**, during the late eighteenth and early nineteenth centuries, the older landowning class still had effective control of the British Parliament, and an intense class conflict was waged between this class and the new industrial, capitalist class. This conflict was fought over the control of Parliament, but the ultimate issue was whether England was to remain a relatively self-sufficient agricultural economy or to become an island devoted primarily to industrial production.

Class Conflicts of Malthus's Times

The industrial revolution brought about increases in human productivity without precedent in history. The widespread construction of factories and the extensive use of machinery constituted the mechanical basis for this increase. In order to channel the economy's productive capacity into the creation of capital goods, however, it was necessary to devote a relatively much smaller part of this capacity to the manufacture of consumer goods. Capital goods had to be purchased at a social cost of mass deprivation. Although technological change increased productivity and thereby mitigated somewhat this social cost, its effects were by no means sufficient to provide for the growing volume of accumulated capital.

Historically, in all cases in which society has had to force a bare subsistence existence on some of its members, it has always been those with the least economic and political power who have made the sacrifices. And so it was in the industrial revolution in England. The working class lived near the subsistence level in 1750, and their standard of living (measured in terms of the purchasing power of wages) deteriorated during the second half of the eighteenth century. **The trend of working-class living standards in the first several decades of the nineteenth century is a subject of dispute among historians.** The fact that many eminent scholars find sufficient evidence to argue that the living standard failed to increase, or even decreased, leads to the conclusion that any increase during this period was slight at best.

Throughout the period of the industrial revolution, there is no doubt that the standard of living of the poor fell precipitously in relation to the standards of the middle and upper classes. There can be no doubt about which class paid the social costs in terms of the sacrificed consumption that was necessary for industrialization. Yet, the costs in terms of decreased consumption were by no means the only, and perhaps not even the worst, hardships forced on the laboring class by the industrial revolution. The new factory system completely destroyed the laborers' traditional way of life, throwing them into a nightmare world with which they were completely unprepared to cope. They lost the pride of workmanship and close personal relationships that had existed in handicraft industries. Under the new system their only

relationship with their employer was through the impersonal market, or cash nexus. They lost direct access to the means of production and were reduced to mere sellers of labor power totally dependent on market conditions for their livelihood.

Perhaps, worse than any of these was the monotonous, mechanical regularity imposed on the worker by the factory system. **In preindustrial Europe, a worker's tasks were not so specialized.** The worker went from one task to another, and the work was interrupted by variation in the seasons or the weather. When the worker felt like resting or playing or changing the pace of the work routine, he or she had a certain amount of freedom to do so. Factory employment brought the tyranny of the clock. Production was mechanized, and absolute regularity was necessary to coordinate the complex interaction of processes and to maximize the use of new, expensive machinery. The pace of work was no longer decided by the worker but by the machine.

The machine, which had formerly been an appendage to the worker, was now the focal point of the production process. The worker became a mere appendage to the cold, implacable, pacesetting machine. During the late eighteenth and early nineteenth centuries, a spontaneous revolt against the new factory system saw bands of workers smashing and destroying machines and factories, which they believed were responsible for their plight. These revolts, called the Luddite revolts, ended in 1813 when large numbers of workers were hanged or deported for their activities.

The extensive division of labor in the factory made much of the work so routine and simple that untrained women and children could do it as well as men. Because women and children could be hired for much lower wages than men, and because in many cases entire families had to work in order to earn enough to eat, women and children were widely employed. Many factory owners preferred women and children because they could be reduced to a state of passive obedience more easily than men. The widespread ideology in this period that the only good woman was a submissive woman was a great help to their employers.

Children were bound to factories by indentures of apprenticeship for seven years, or until they were twenty-one. Almost nothing was given the children in return for long hours of work under the most horrendous conditions. Poor-law authorities could indenture the children of paupers, which led to regular bargains where children were dealt with as mere merchandise between the spinners on the one hand and the Poor Law authorities on the other. **Lots of fifty, eighty or a hundred children were supplied and sent like cattle to the factory, where they remained imprisoned for many years.**

These children endured the cruelest servitude. They were totally isolated from anyone who might take pity on them and were thus at the mercy of the capitalists or their hired managers, whose main concern was the challenge of competitive factories. The children's workday lasted from fourteen to eighteen hours or until they dropped from complete exhaustion. The foremen were paid according to how much the children produced and therefore pushed them mercilessly. In most factories the children had hardly more than twenty minutes a day for their main (and often only) meal. **Accidents were very common, especially towards the end of the overlong day, when the exhausted children almost fell asleep at their work. The tale never ended of fingers cut off and limbs crushed in the wheels.** The children were disciplined in such savage and brutal ways that a recitation of the methods would appear completely incredible to the reader of today.

Women were mistreated almost as severely. Work in a factory was long, arduous, and monotonous. Discipline was harsh. Many times the price of factory employment was submission to the sexual advances of employers and foremen. Women in the mines toiled fourteen to sixteen hours a day, stripped to the waist, working with men and doing the work of men. There were reports of women who came out of the mines to bear children and were back in the mines within days after giving birth. Many accounts have been written of the fantastically cruel and dehumanizing working conditions for women during this period. And, of course, the men who worked were not much better off than the women or the children.

Another important consideration in assessing the living standard of the working class during the period of capitalist industrialization was the rapid urbanization that took place at that time. **In 1750, only two cities in Britain had populations over 50,000. In 1850, there were twenty-nine. By the latter date, nearly one person in three lived in a city with over 50,000 inhabitants.**

The total destruction of the laborers' traditional way of life and the harsh discipline of the new factory system, combined with deplorable living conditions in the cities, generated social, economic, and political unrest. Chain reactions of social upheaval, riots, and rebellion occurred in the years 1811-13, 1815-17, 1819, 1826, 1829-35, 1838-42, 1843-44, and 1846-48. In many areas these uprisings were purely spontaneous and primarily economic in character. In 1816, one rioter was reported to have shouted: "Here I am between Earth and Sky, so help me God. I would sooner lose my life than go home as I am. Bread I want and bread I will have. In 1845, an American named Colman reported that the working people of Manchester were "wretched, defrauded, oppressed, crushed human nature lying in bleeding fragments all over the face of society."

There can be no doubt that industrial capitalism was erected on the base of the wretched suffering of a laboring class denied access to the fruits of the rapidly expanding economy and subjected to the most degrading of excesses to increase the capitalists' profits.

From the earliest introduction of factory production in the textile industries, workers tried to band together to protect their interests collectively. **In 1787, during a period of high employment, the Glasgow muslin manufacturers attempted to lower the piece rates that they were paying.** The workers resisted collectively, refused to work below a certain minimum rate, and organized a boycott of the manufacturers who would not pay the minimum rate. The struggle led to open rioting and shooting, but the workers proved to be a strong and well-disciplined group, and they built a strong union. In 1792, a union of weavers forced a collective agreement on Bolton and Bury Manufacturers.

Labor organizations spread rapidly in the 1790s. As a result of this and the concurrent growth of social and economic discontent, the upper classes became very uneasy. The memory of the French Revolution was fresh in their minds, and they feared the power of united workers. The result was the Combination Act of 1799, which outlawed any combination of workers whose purpose was to obtain higher wages, shorter hours, or the introduction of any regulation constraining the free action of their employers. Proponents couched their arguments in terms of the necessity of free competition and the evils of monopoly-cardinal tenets of classical liberalism-but did not mention combinations of employers or monopolistic practices of capitalists.

Another cause for which the proponents of laissez-faire capitalism campaigned vigorously was the abolition of the Speenham land system of poor relief that had come into existence in 1795. This system was the result of the Christian paternalist ethic. It held that unfortunates would be entitled to a certain minimum living standard whether employed or not. To be sure, the system had serious drawbacks: it actually depressed wages below the relief level in many cases (with the parish taxes making up the difference) and severely limited labor mobility at a time when greater mobility was needed. But most of the arguments were not confined to these features of the Speenham land system. They were opposed to any government aid to the poor, and many of their arguments were based on the ideas of Malthus. During the 1790s, the plight of workers had deteriorated sharply. The wars in which England was fighting had cut off much of its food imports, and the price of grains rose very substantially. Wheat, for example, cost 31 shillings per quarter of a ton in 1750. By 1775, the price was 46 shillings, and over the next twenty-five years it soared to 128 shillings. While money wages rose during the period, the amount of food a worker could buy with his or her pay declined.

Of equal importance was the fact that the prices of manufactured goods generally did not rise as fast as wages (some even fell during the period), much less as fast as agricultural prices. **In 1815, with the long series of wars over, the corn laws became one of the most critical political issues facing the British Parliament.** The landlord class used all of its social, intellectual, and political influences to obtain a new set of tariffs on agricultural products. It wanted to raise the tariffs high enough to keep foreign grains, which could be imported at prices far lower than those prevailing in Britain, from entering the country. This would sustain British agricultural prices at a high rate and assure continuation of the equally high incomes that landlords had enjoyed throughout the war years.

The British industrial capitalists, however, opposed the corn laws for two fundamental reasons.

First, because grains and products made from grains constituted the largest part of the necessary subsistence of laborers, the high price of grains forced the capitalists to pay workers a higher money wage in order for the workers and their families to subsist. This higher money wage cut into the capitalists' profits. Thus, the high agricultural prices had the effect of transferring much of the surplus value created by the workers from the profits of the capitalists to the rents of the landlords.

Second, by the early nineteenth century, British manufacturing had become much more efficient than its continental competitors, and, hence, the prices of British manufactured goods were much lower than those of the other countries of Europe. This meant that if all tariffs could be abolished and free international trade could be established, British manufacturers could undersell their European competitors. For Britain to sell manufactured goods to continental Europe, however, it had to buy some commodities there. If Britain imported grain from continental Europe, this would place British pounds in the hands of Europeans, which would then permit those Europeans to buy British manufactured commodities.

The ultimate issue at stake was tremendously important. The landlords wanted Britain to remain a predominantly agricultural economy in order to perpetuate their position, income, and power. The industrial capitalists wanted Britain to specialize in manufacturing in order to expand their income and power and to reduce the portion of surplus value that was accruing to the landlords. What in fact was occurring was the last battle between two antagonistic elements of the British ruling class. The landlords were the last vestige of the feudal ruling class, and, like the feudal nobility, their power came from control of the land. The capitalists' power came from their control over labor and the production process. The

surplus value created by workers was shared by capitalists and landlords, who were each fighting to become the controlling faction of the ruling class of capitalism.

In 1815, the landlords won a round in the fight. A corn law was passed that prohibited all grain importation until certain relatively high domestic prices had been reached. Wheat, for example, could not be imported until the British price reached 80 shillings per quarter. The industrial capitalists had economic dominance, but the landlords still controlled Parliament. This situation could not be maintained indefinitely, however. The dominant economic class has always eventually extended its economic dominance to political dominance. So the struggle continued, and finally, in 1846, Parliament voted for the total abolition of the corn laws. The event dramatized the final political dominance of the industrial capitalists.

The Theory of Population

Malthus wrote many books, pamphlets, and essays during his lifetime. His writings can be separated into two periods, each characterized by its own overriding social concern and theoretical approach. During the 1790s and early 1800s, his chief concerns were the unrest of labor and the schemes being advocated by radical intellectuals to restructure society in order to promote the welfare and happiness of workers. These schemes, Malthus correctly perceived, could attempt to promote the cause of laborers only by eroding the wealth and power of the two classes of proprietors, capitalists and landlords. Malthus was an outspoken champion of the wealthy, and his theory of population provided the framework within which he defended them. In 1798 he published *An Essay on the Principle of Population as It Affects the Future Improvement of Society, with Remarks on the Speculations of Mr. Godwin, M. Condorcet, and Other writers*, generally referred to as the first *Essay on the Principle of Population*. **In 1803, he published a revised edition in which the revisions were so extensive that it was, in reality, a new book. This book is generally referred to as the second *Essay on the Principle of Population*. He later published *A Summary View of the Principles of Population*.**

From about 1814 onward, Malthus's chief concerns became the corn laws and the struggle between the landlords and the capitalists. During this period he was a consistent defender of the interests of the landlord class. The intellectual foundation for this defense of the landlords is contained in his *Principles of Political Economy Considered with a View to Their Practical Application*, first published in 1820. In the *Principles*, the most important theoretical basis for his defense of the landlords was his theory of economic "gluts," or depressions.

The abject conditions of the working class and the labor unrest of the late eighteenth century had spawned many intellectual champions of the working class. Particularly influential among these were the Frenchman Marie Jean Antoine Nicholas de Caritat, Marquis de Condorcet (1743-1794), and the Englishman William Godwin (1756-1836). It was primarily against the ideas of these two men that Malthus's first *Essay* was directed. Condorcet had been an important influence in the first phases of the French Revolution. But after the Jacobins had come to dominate the Convention, he argued that the Republic should abolish the death penalty, protested the execution of the king and the arrest of the Girondins, and told the Convention that Robespierre lacked both ideas and human feelings. As a consequence, Condorcet was sentenced to death. He went into hiding where he wrote the *Esquisse d'un tableau historique des progres de l'esprit humain*, his most famous work. In this book, he argued that

there was a natural order of human progress, which was to reach its highest stage during the period following the French Revolution. In this stage, humans could develop morally, spiritually, and intellectually far beyond the level that had been possible previously.

The most important prerequisites for such development, however, were greater economic equality and security. Condorcet advocated two basic reforms to achieve these goals.

First, while accepting the existing class divisions of society, he argued that the precariousness of the incomes of the working poor could be eliminated by the government establishing a fund for the welfare of the aged and of women and children who had lost their husbands and fathers.

Second, he believed that the power and wealth of capitalists could be reduced by government regulation of credit. By limiting the amount of credit available to the powerful capitalists and by extending credit to ordinary working people, he believed that laborers could slowly become more independent of capitalists and that much greater social and economic equality would result.

William Godwin was much more radical than Condorcet. While most British conservatives as well as many classical liberal reformers were bemoaning the natural laziness and depravity of the working class, Godwin argued that the defects of the working class were attributable to corrupt and unjust social institutions. The capitalist society, in his opinion, made fraud and robbery inevitable: **"If every man could with perfect facility obtain the necessities of life ... temptation would lose its power."** Men could not always obtain the necessities because the laws of private property created such great inequalities in society. Justice demanded that capitalist property relations be abolished and that property belong to that person whom it would benefit most. That one way, of course, must be based on the equality of all men. To whom could the poor turn to correct the injustices of the system? In Godwin's opinion, it most certainly would not be the government. With economic power went political power. The rich are "directly or indirectly the legislators of the state ; and of consequence are perpetually reducing oppression into a system." The law, then, is the means by which the rich oppress the poor, for "legislation is in almost every country grossly the favorer of the rich against the poor."

These two ideas of Godwin's were to be voiced again and again by nineteenth-century socialists:

(1) that capitalist social and economic institutions, particularly private property relations, were the causes of the evils and suffering within the system, and

(2) that the government in a capitalist system would never redress these evils because it was controlled by the capitalist class.

But Godwin had an answer to this seemingly impossible situation. He believed human reason would save society. Once men became educated about the evils of the situation, they would reason together and arrive at the only rational solution. As Godwin saw it, this solution entailed the abolition of government, the abolition of laws, the abolition of private property and social classes, and the establishment of economic, social, and political equality.

Again, **Malthus's first Essay** was directed against the ideas of Condorcet and Godwin. Throughout the first Essay there were two recurring dominant themes. The first is an argument that no matter how successful reformers were in their attempts to alter capitalism, the present class structure of wealthy

proprietors and poor laborers would inevitably reemerge. Such a class division was, Malthus believed, the inevitable consequence of natural law.

The second theme pervading his population theory was that abject poverty and suffering were the inevitable lot of the majority of people in every society. Furthermore, attempts to alleviate the poverty and suffering, no matter how well intentioned they might be, would make the situation worse, not better. We "should reprobate specific remedies for human suffering," Malthus argued, and we should also reprobate "those benevolent, but much mistaken men, who have thought they were doing a service to mankind by projecting schemes for the total extirpation of particular disorders. "

The population theory on which Malthus based these conclusions was relatively simple. He believed that most people were driven by an insatiable desire for sexual pleasure and that consequently rates of reproduction, when unchecked, would lead to geometric increases in population; specifically, population would double at each generation. **"All animals," he argued, "must have a capacity of increasing in a geometrical progression." In this regard, humans were no different from other animals. It was obvious to Malthus that in no society had population grown at this rate for very long, because within a relatively short period of time every square foot of the earth would have been inhabited.** Thus, the central question to which he addressed himself was what forces had operated to check population growth in the past and what forces were likely to operate in the future. The most immediate and obvious answer was that the population in any given territory was limited by the available food there. While Malthus was aware that by applying more labor or better methods of food production, humans could increase the level of food production, he asserted that in all probability the increases from each generation to the next would become successively smaller within a given territory. At best, he believed that food production could be increased at an arithmetic rate, that is, each generation could only increase production by roughly the same amount as the previous generation had.

So if there were no other checks, ultimately, starvation would limit population growth to the maximum rate at which food production could be increased. But there were many other checks. Sometimes Malthus classified these checks into two categories, preventive and positive. Preventive checks reduced the birth rate; these included such things as sterility, sexual abstinence, and birth control. Positive checks increased the death rate; these included famine, misery, plague, war, and the ultimate inevitable check of starvation. The population was always checked by some combination of these so that it was kept within the bounds of the available food supply. If preventive checks were inadequate, then positive checks were inevitable ; and if there was an insufficiency of disease, war, and natural catastrophes, then starvation would always check population growth. Malthus also had a second classificatory scheme, which gets us much closer to an understanding of the normative side of his theory. The positive and preventive "checks which repress the superior power of population, and keep its effects on a level with the means of subsistence, are all resolvable into moral restraint, vice and misery."

Within this scheme of classification, Malthus was able to argue that if the wealth and income of everyone in society were increased, the vast majority would respond by having so many children that they would very soon be pushed back to bare subsistence living; only the morally virtuous could escape this fate. **"Moral restraint" was defined very simply as "the restraint from marriage which is not followed by irregular gratifications."** It is obvious, however, throughout Malthus's writings, that he believed such moral restraint was found only in the persons who had all of the other moral virtues that he valued. It is

also obvious that Malthus believed that the lack of sexual restraint would be found among those who squandered every penny that they received above their subsistence on "drinking, gaming, and debauchery.

Thus, in Malthus's theory, the ultimate difference between the rich and the poor was the high moral character of the former and the moral turpitude of the latter. He considered birth control to be a vice that a good Christian would hardly mention, much less advocate. Furthermore, he associated it exclusively with premarital or extramarital sexual intercourse. The conclusion seemed obvious to Malthus when he observed "that carelessness and want of frugality ... [predominates] among the poor." He noted that "even when they have an opportunity of saving they seldom exercise it, but all that is beyond their present necessities goes, generally speaking, to the ale-house." Any Christian gentleman, such as Malthus, had to conclude that where moral restraint was absent, population would be checked by either vice or misery. Therefore, a good Christian must virtuously denounce vice and then realistically accept the inevitable misery necessary to keep population from outstripping subsistence. Malthus therefore rejected all schemes that would redistribute wealth or income. Such redistributions would merely increase the number of poor workers and push them all back to subsistence. Sometimes Malthus even argued that such a redistribution would not even raise workers' welfare for the brief period until they were able to have children. Malthus also opposed virtually every attempt to legislate some form of relief for the suffering of the poor. The most valuable members of society were, of course, the wealthy class of proprietors, whose value was both economic and cultural. To illustrate the economic value of the wealthy, Malthus argued that in any society the only possible escape from anarchy and total insecurity was the establishment of property rights and marriage. Once these institutions were established, then those persons of high moral character would begin to accumulate, while most of the members of society would dissipate their property in riotous living .

At this point, the lower classes would have no means to continue their existence unless the moral, wealthy elite shared their accumulated funds. But there would be so many poor persons that the wealthy elite would have to choose with whom to share their funds. This statement is followed by the previously quoted assertion that the "inevitable laws of nature" decree that all societies will be "divided into a class of proprietors and a class of labourers." The social and cultural value of the wealthy class of proprietors was even greater.

Malthus believed that the private property system and the class inequality that it created were responsible for all of the great cultural achievements of humanity. Sometimes Malthus went beyond merely opposing redistributions of wealth and income and legislative attempts to mitigate the harshness of poverty. Perhaps Malthus sensed that even the most hard-hearted conservative might find his policy suggestions a little too harsh, so he ended the first Essay with a sanctimonious appeal to religion and God's will. Malthus's population theory was to have tremendous intellectual influence.

It inspired Charles Darwin to formulate his theory of evolution, and variations of this population theory are widely accepted today-especially in theories dealing with economically less-developed countries. The normative orientation of the theory remains now, as with Malthus, to convince us that poverty is inevitable, that little or nothing can be done about it, and that poverty is, generally speaking, due to the weakness or moral inferiority of the poor.

Economics of Exchange and Class Conflict

During and after the second decade of the nineteenth century, **Malthus's concern shifted from the class conflict between the proprietors and laborers to the conflict between the two antagonistic classes of proprietors-the capitalists and the landlords.** Most of his theoretical writings during the period were incorporated into his Principles of Political Economy.

Malthus lacked Smith's appreciation of history. In his rather culture-bound, egocentric view, there were only two states of society: the rude, uncivilized state and the civilized state. He had gone to great lengths in his Essay on the Principle of Population "to prove the necessity of a class of proprietors and a class of laborers" in every civilized society.

But such a class division presupposed not only a money-exchange, commodity-producing society, but one in which labor power had become a commodity. With such an a historical view, it is not surprising that, unlike Smith, Malthus was unable to compare the methods of appropriating the economic surplus that had been utilized in precapitalist societies with those utilized in capitalism. Had he made such a comparison, he, like Smith, would have realized that the surplus is created in the production process and that, in order to understand the creation of the surplus, one must examine the process of production, not the process of the circulation of money and commodities; that is, the processes of exchange, or market supply and demand, can never furnish insights into the nature and origins of surplus value.

When Smith examined capitalism from the vantage point of production, **he was led to a class conflict view of the economy; when he examined it from the vantage point of exchange, he was led to a social harmony view.** Malthus, while forcefully aware of the class conflicts that characterized British society, adopted the exchange or supply-demand vantage point. Consequently, it seemed to him that existing conflicts were based on ignorance of how the capitalist economy worked. When a proper understanding was achieved, Malthus believed that all classes would see their common, harmonious interests.

The reason the exchange vantage point generally supports a view of social harmony is that it takes for granted existing laws of ownership and the existing distribution of property rights. The production vantage point (or the labor theory of value) on the contrary, considers these as elements of the economy to be explained by the theory and generally sees them as the legal manifestation of class division. When the laws of ownership and the distribution of property rights are taken for granted, then every exchange can be seen as mutually beneficial to both parties involved. The laborer who has nothing to sell but labor power is better off if he or she can find a buyer-no matter how low the wage-than if he or she starves. Therefore, all exchange is beneficial to capitalist and laborer alike, particularly if one accepts the inevitability of a class of proprietors and a class of laborers.

The universal beneficence of exchange, the normative core of neoclassical economics, was succinctly stated by Malthus:

Every exchange which takes place in a country, effects a distribution of its produce better adapted to the wants of society. It is with regard to both parties concerned, an exchange of what is wanted less for what is wanted more, and must therefore raise the value of both the products.

This is the foundation of theories that stress social harmony. Therefore, Malthus had to show that apparent class conflicts in his society were, in fact, amenable to harmonious solution. He did this by constructing an argument in which, despite superficial appearances to the contrary, the ultimate, long run interests of both capitalists and laborers would best be promoted by the promotion of the immediate, short-run interest of the landlords: "It may be safely asserted that the interest of no other class in the state is so nearly and necessarily connected with its [the state's or general society's] wealth, prosperity, and power as the interest of the landowner."

The exchange vantage point entered Malthus's analysis from the outset. Whereas Smith had defined wealth as the produce of labor, Malthus wrote, "I should define wealth to be material objects, necessary, useful, or agreeable to man, which are voluntarily appropriated by individuals or nations." In a footnote to this definition, he stated that "an object might be considered as wealth which had no labor employed upon it." He defined productive labor as that labor that produced material wealth. He objected, however, to the term unproductive labor because he believed it connoted that such labor was socially unimportant. He preferred "to substitute the term personal services for unproductive labor."

Like Smith, Malthus believed that the quantity of labor commanded was the best measure of value. He also accepted the cost-of-production theory of value. The natural price was the sum of the wages, rent, and profits when each of these costs yielded their recipients the "normal" rate of return on their labor, land, and capital. His discussion of the cost-of-production theory of value differed from Smith's, however, in two very important ways.

First, unlike Smith, who saw labor as the only absolutely necessary social cost of production, Malthus argued that wages, rent, and profits were all equally necessary.

Second, Malthus did not believe that the market forces of supply and demand would necessarily move the market price toward the natural price. Both of these differences were significant, and we will discuss each at length.

From the production vantage point, one can abstract from the particular social institutions whereby the economic surplus is appropriated, that is, from the forms of property relations prevailing in a given economy. When one does this, production is seen as a sequence through time of labor exertions directed toward the transformation of natural resources into useful products. This is true for every mode of production. It was from this vantage point that Smith asserted that labor was the only necessary social cost of production, and that prior to the private appropriation of land and capital, labor received the total of what it produced.

From Malthus's exchange vantage point, property ownership was taken as "natural" and inevitable. Production was viewed as an exchange of productive inputs. Each class owned a different but equally necessary input. In the *Principles*, as in his *Essay*, Malthus was fond of referring to a "lottery" where some just happened to come into the ownership of only their own labor, while others happened to come into the ownership of capital and land. The fundamental principle of ownership was, he believed, the same in all three cases (i.e., because laborers were not owned by others, or were not slaves, they were on the same socioeconomic or legal footing as the owners of the means of production).

Each class owned a unique type of commodity, and each had to be remunerated if it was to give permission to use its commodity in production. "It is not, therefore, correct," Malthus insisted, "to represent as Adam Smith does, the profits of capital as a deduction from the produce of labor." Furthermore, "in speaking of the landlords, Adam Smith's language is again exceptionable. He represents them, rather invidiously, as loving to reap where they have not sown. All three components of the natural price had the same basis in property ownership:

The possessors of land ... conduct themselves, with regard to their possessions, exactly in the same way as the possessors of labour and of capital, and let out or exchange what they have for as much money as the demanders are willing to give them for it.

The ... compensation which ... [forms] the ordinary price of any exchangeable commodity, may be considered as consisting of three parts; that which pays the wages of the labourers employed in its production; that which pays the profits of the capital, including the advances to the labourers, by which such production has been facilitated; and that which pays the rent of land, or the compensation for those powers attached to the soil which are in the possession of the landlord ; the price of each of these component parts being determined exactly by the same causes as those which determine the price as a whole.

Because production could not take place without natural resources, the products of past labor, and present labor, and because the owners of each of these just happened to draw that particular type of property "in the lottery of human life," each class was equally entitled to a compensation representing the contribution to the production process of its property. From this exchange vantage point, which was later to dominate neoclassical economics, the distinctly human contribution to production was owning property-not a productive activity but a legal relationship. Furthermore, owning nothing but one's own labor power was, in principle, no different from owning the means of production. Malthus 's justification of profits as a return to a productive contribution of capitalists was simple. Workers could produce more when they had tools and machinery than when they had none. This added productivity was caused by the capitalists allowing their tools and machinery to be used. Therefore, Smith was wrong, and capitalists did contribute to production. Malthus entirely missed Smith's point that tools and machinery were simply the present embodiment of past labor exertions. In Malthus's defense of the landlords' rent as also constituting remuneration for their contribution to production, he was concerned to refute the then widely held notion that rent was either the return to a monopoly or some form of unearned income. **As early as 1815, he published a pamphlet entitled *An Inquiry into the Nature and Causes of Rent, and the Principles by Which It Is Regulated*. In this pamphlet, he developed a theory of rent that was very similar to a theory being simultaneously developed by David Ricardo (and others) and that subsequently came to be associated primarily with Ricardo.**

Malthus equated income from a monopoly with income resulting from artificially created restraints of supply. He insisted that "rent is the natural result of a most inestimable quality in the soil, which God has bestowed on Man-the quality of being able to maintain more persons than are necessary to work it." But all soil did not furnish an equal bounty. "Diversities of soil and situation must necessarily exist in all countries. All land," he argued, "cannot be the most fertile." Rent existed because of the differences in the fertility of the soil. When a country's population was small, its need for food could be satisfied by farming only the most fertile land. As capital was accumulated and the population grew, however, it would

necessitate the farming of increasingly less fertile land. With inferior land, the profit and wage costs of producing a given quantity of agricultural produce would increase. Therefore, to make farming profitable on inferior lands, agricultural prices would have to rise to sufficiently high levels to cover these increased costs. But the costs of producing a given quantity of agricultural produce on the most fertile land would remain lower. It followed that the increasing agricultural prices would yield a larger surplus of price over costs of production on those crops grown on the most fertile land. It was this surplus, created by differences in the fertility of land, that was the basis of rent. Thus, rent was not the return to an artificially created restraint on supply; it was due to the differences in nature's gifts to man. Again, Malthus did not question the rights of property ownership but considered it quite appropriate to consider nature's gifts as the personal contributions to production of the landowners.

In addition to the rent based on differences in natural soil fertility, Malthus argued that some differences in fertility were due to the landlord's improvement of the soil. Rent also had a special social value, which profits did not. Increased food production permitted a larger population to subsist and thereby created its own demand because the additional people had to eat. Increased manufacturing did not provide the necessities for a larger population, he argued, and did not create any additional demand. In his theory of gluts, or depressions, as we will see, this created demand was an important social benefit of agriculture.

In discussing the economic causes of high rents, Malthus concluded that high profits, economic prosperity, and population growth were generally the forces that led to increased agricultural production. Increased agricultural production must bring successively less fertile land under cultivation and thereby increase rents. Therefore, high rents were both the result of and the best single indicator of general economic and social prosperity:

Rents are the reward of present valour and wisdom, as well as of past strengths and abilities. Every day lands are purchased with the fruits of industry and talents. They afford the great prize, the "otium cum dignitate " to every species of laudable exertion; and, in the progress of society, there is every reason to believe, that, as they become more valuable from the increase of capital and population, and the improvements in agriculture, the benefits which they yield may be divided among a much greater number of persons. In every point of view, then, in which the subject can be considered, that quality of land which, by the laws of our being, must terminate in rent, appears to be a boon most important to the happiness of mankind .

The Theory of Gluts

Malthus who is best known for his theory of population also address the phenomenon of economic crisis which he referred to as gluts. He made his most important and lasting contribution to economic theory with his theory of gluts or depression.

Malthus made some assumptions where he mentioned that the effective demand determines the level of output because the component costs of the natural value of all commodities also represents the incomes to the three classes in society who were the landowners, capitalists and workers.

There were two ways in which income could be spent. **The first one** was in the acquisition of commodities for consumption. **The second one** was in the acquisition of commodities that were accumulated as capital. The classical economist defined savings as that income remaining after all

expenditure have been deducted. That means for all income to be spent, the expenditure for commodities to be accumulated as capital would have to be equal to the amount of income that was saved.

Where Smith and nearly all of the other classical economist argued that capitalism would never experience the difficulty of having insufficient aggregate demand for all for all the produced commodities to be sold, the phenomenon of a sharp decline in agricultural prices followed by general depression in 1819 proved them wrong. Because these resulted in severe unemployment later on which resulted in devastating situation in Manchester which is known as the 'Peter loo Massacre'. These phenomenon serve as the historical backdrop behind the theory of gluts.

To understand the source of the lack of demand Malthus analyzed the pattern of experience of each three classes. Where we see

- Labourer spent all of their incomes on their subsistence.
- Capitalists were driven by a passion to accumulate capital and had neither the inclinations nor the time to spend much of their profits on their consumptions or on personal services.
- Landowners being assured of a continual income from rent, spent all of their income on comfortable surroundings, servants etc. They were considered as the providers of culture in the society.

Now in a period of prosperity if profits were invested in new capital that embodied the same old technology as old capital, then any given quantity of new capital would employ the same number of workers as that same quantity of old capital.

But the problem was that with the advent of prosperity capital would begin to grow immediately. This sudden increase in capital can result in two possible situation as the labor supply same as because population cannot grow proportionately with capital

- First some capital would find no labour would remain idle.
- Second there would be a temporary shortage of labour.

Another type of accumulation is the technical change that where same quantity could be produced using less labor. This displacement of workers would reduce the demand

So in both cases the ultimate cause of glut was the excessive profit leading to an unsustainable rate capital accumulation. And according to Malthus the only way to avoid glut was to peruse some policy that will redistribute the income leaving the capitalist with less profit and find another class who would spend more on consumption who were undoubtedly the landowners. It also clear that the landlord would not consume all of the excess materials produced, they would hire more servants and other unproductive laborers who would spend their income on the material commodities produced in the manufacturing sector.

